

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 26-08

EALYTEX GLOBAL INC.

v.

COSCO SHIPPING LINES CO., LTD.

RESPONDENT’S VERIFIED ANSWER

Respondent COSCO Shipping Lines Co., Ltd. (“COSCO” or “Respondent”)¹ hereby answers the Verified Complaint of Ealytex Global Inc. (“EGI” or “Complainant”), served on June 3, 2026.

RESPONSES TO NUMBERED ALLEGATIONS

I. INTRODUCTION

1. Complainant Ealytex Global Inc. (“EGI”), by its undersigned counsel, brings this Verified Complaint against Respondent COSCO Shipping Lines Co., Ltd. (“COSCO”), pursuant to 46 U.S.C. Section 41301 to seek compensation for injuries to EGI caused by Respondent’s

¹ As used herein, the terms “COSCO” and “Respondent” mean only Respondent COSCO Shipping Lines Co., Ltd. and do not include COSCO Shipping Lines (North America), Inc. (“CSLNA”). The Verified Complaint uses the term “COSCO” in a confusing manner that could be read to include CSLNA, but CSLNA is not an ocean common carrier and is not a respondent in this proceeding.

violations of the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 et seq. (the “Shipping Act”).

ANSWER: Paragraph 1 characterizes Complainant’s claims and states legal conclusions to which no response is required. To the extent a response is required, COSCO denies the allegations of Paragraph 1.

2. COSCO has unjustly and unreasonably charged astronomical demurrage, detention, per diem, and storage charges (the “Charges”) to EGI citing inability to pick up containers at the ports, or return empty containers promptly, all of which was significantly constrained due to circumstances outside EGI’s control, such as congestion at ports and shortage of equipment.

ANSWER: COSCO denies the allegations of Paragraph 2.

3. COSCO’s conduct related to the receipt, handling, storage, and/or delivery of EGI containers and property occurred on a normal and customary basis.

ANSWER: COSCO denies the allegations of Paragraph 3.

II. THE COMPLAINANT

4. Complainant EGI is a corporation organized under the laws of New York with its principal place of business located at 225 West 39th Street, 8th Floor, New York, NY 10018. EGI can be contacted by the FMC through its Shipping Manager Luna Zhang, 212-967-9888, Luna@ealytex.com. EGI is a “shipper” pursuant to 46 U.S.C. 40102(23).

ANSWER: COSCO lacks knowledge or information sufficient to admit or deny the allegations of Paragraph 4, and on that basis denies them.

III. THE RESPONDENT

5. Upon information and belief, Respondent COSCO was established in 2016, and is a Chinese global ocean carrier located at No. 378 Dong Da Ming Road, Shanghai, 200080, People's Republic of China with its U.S. office/general agent located at 100 Lighting Way, Secaucus, NJ 07094. COSCO offers container transportation and serves multiple ports in the United States. Upon information and belief COSCO is a vessel-operating ocean common carrier as that term is defined by 46 U.S.C. § 40102(18).

ANSWER: COSCO admits that it is a vessel-operating ocean common carrier subject to regulation by the FMC, that it maintains corporate headquarters at No. 378 Dong Da Ming Road, Shanghai, People's Republic of China, and that CSLNA maintains an office at 100 Lighting Way, Secaucus, New Jersey. COSCO denies that CSLNA is COSCO's "general agent" and denies the remaining allegations of Paragraph 5.

IV. JURISDICTION AND LEGAL AUTHORITY

6. The Federal Maritime Commission ("FMC") has jurisdiction over this Verified Complaint pursuant to 26 U.S.C. §§ 41301 through 41309.

ANSWER: Paragraph 6 states a legal conclusion to which no response is required.²

To the extent a response is required, COSCO denies the allegations of Paragraph 6.

7. The FMC has personal jurisdiction over Respondent as an ocean common carrier, as that term is defined by 46 CFR § 520.2.

² Paragraph 6 purports to invoke the Commission's jurisdiction under "26 U.S.C. §§ 41301 through 41309." The cited provisions appear in Title 46, not Title 26, of the U.S. Code. It seems that Complainant has copied its complaint from another unsuccessful complainant that made this error.

ANSWER: COSCO admits only that the FMC may exercise personal jurisdiction over COSCO with respect to shipments moving into or out of a port of the United States. Paragraph 7 otherwise states a legal conclusion to which no response is required, and COSCO otherwise denies the allegations of Paragraph 7.

8. Respondent's actions alleged herein constitute failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of EGI, in violation of 46 U.S.C. Section 41102(c) and the FMC's Interpretive Rule on Demurrage and Detention under the Shipping Act, 85 Fed. Reg. 29,638 (May 18, 2020 (partially codified at 46 C.F.R. Section 545.5) (the "Interpretive Rule"), and in particular the Incentive Principle articulated in the Interpretive Rule.

ANSWER: Paragraph 8 states a legal conclusion to which no response is required.

To the extent a response is required, COSCO denies the allegations of Paragraph 8.

9. Respondent's assessment of the Charges, or a substantial majority thereof, and the alleged acts and omissions of COSCO that led to the assessment of such Charges also constitute violations of 46 U.S. Section 41104, including 46 U.S.C. Section 41104(a)(10)'s prohibition on unreasonable refusals to deal or negotiate.

ANSWER: Paragraph 9 states a legal conclusion to which no response is required.

To the extent a response is required, COSCO denies the allegations of Paragraph 9.

V. ALLEGED FACTS

10. As set forth herein, EGI shipped hundreds of unique containers using COSCO, and COSCO assessed EGI with detention, and demurrage, and storage charges on many of those containers. The total demurrage, detention, per diem, and storage charges assessed by COSCO was in excess of \$360,310.00 (the "Charges").

ANSWER: COSCO admits that EGI shipped containers using COSCO. COSCO denies that it assessed EGI with any detention, demurrage per diem or storage charges, and otherwise denies the allegations of Paragraph 10.

11. As set forth in the FMC's Interpretive Rule, "the purpose of demurrage and detention are to incentivize cargo movement," and therefore the FMC "will consider in the reasonableness analysis under section 41102(c) the extent to which demurrage and detention are serving their intended purposes as financial incentives to promote freight fluidity."

ANSWER: Paragraph 11 quotes and characterizes 46 C.F.R. § 545.5 and the FMC's Interpretive Rule, which speak for themselves, and states a legal conclusion to which no response is required. To the extent a response is required, COSCO denies the allegations of Paragraph 11.

12. COSCO's assessment of the Charges, or a substantial majority thereof, and COSCO's acts and omissions that led to the assessment of the Charges, were incapable of incentivizing cargo movement and therefore unreasonable.

ANSWER: COSCO denies the allegations of Paragraph 12.

13. COSCO refused to act reasonably by increasing the number of free days available to EGI even though COSCO created delays beyond EGI's control.

ANSWER: COSCO denies the allegations of Paragraph 13.

14. The Charges assessed by COSCO and paid by Complainant were assessed during periods of time in which such Charges were not just or reasonable because of circumstances outside the control of EGI and its agents and services providers, such as congestion at ports and shortage of equipment.

ANSWER: COSCO denies that COSCO assessed charges against Complainant or that Complainant paid any Charges and otherwise denies the allegations of Paragraph 14.

15. COSCO failed to provide adequate practices and facilities to handle and store COSCO's empty containers and also failed to provide to provide adequate facilities for its customers, including EGI, to return empty containers at those ports.

ANSWER: COSCO denies the allegations of Paragraph 15.

16. Despite knowing that there was insufficient space in certain ports, COSCO continued to accept EGI's goods for ocean common carriage and for receipt, handling, storage, and/or delivery through those ports.

ANSWER: COSCO denies the allegations of Paragraph 16.

17. COSCO failed to provide reasonable free time for EGI for containers COSCO transported into the ports during the time COSCO failed to clear its container backlog.

ANSWER: COSCO denies the allegations of Paragraph 17.

18. The Charges did not serve, and could not have served, as a financial incentive to promote freight fluidity, but instead operated only as a punitive penalty on EGI for circumstances over which EGI and its agents and service providers had little to no control.

ANSWER: COSCO denies the allegations of Paragraph 18.

19. COSCO also failed to provide sufficient detail on its invoices to allow Ealytex to understand the reasons for the Charges and to be able to contest the Charges. Prior to the FMC's mandate to provide backup data to substantiate these Charges in the Ocean Shipping Reform Act of 2022 ("OSRA"), COSCO's invoices for the Charges did not include the start or end date of any free time allocated for these containers, the applicable detention or demurrage rule on which

the Charges were based, the rates applied, any representation that COSCO's performance did not contribute to the underlying Charge, or a statement that the Charges were consistent with the FMC rules.

ANSWER: COSCO denies the allegations of Paragraph 19.

20. On or about August 16, 2023, EGI filed a charge complaint with the FMC (the "Charge Complaint"). As set forth in the Charge Complaint, EGI disputed the Charges assessed by COSCO in an amount no less than \$360,310.00.

ANSWER: COSCO admits that EGI submitted a charge complaint to the FMC on or about August 16, 2023. COSCO denies the remaining allegations of Paragraph 20.

21. On or about October 11, 2023, to resolve the Charge Complaint, COSCO agreed to delete; refund; waive and/or make adjustments to invoices related to 9 containers from Exhibit B of the Charge Complaint totaling \$24,390.00, to 36 containers from Exhibit A of the Charge Complaint totaling \$215,275.00, and further adjustments related to 13 containers from Exhibit A of the Charge Complaint reducing the number of days charged from 548 to 34 days.

ANSWER: Any correspondence or agreement referenced in Paragraph 21 speaks for itself. The Charge Complaint, its Exhibits A and B, and the October 11, 2023 correspondence referenced in Paragraph 21 were not attached to the Verified Complaint, and COSCO denies any characterization inconsistent with those writings. COSCO otherwise lacks knowledge or information sufficient to admit or deny the allegations of Paragraph 21, and on that basis denies them.

22. The resolution of the Charge Complaint and COSCO's agreement to delete; refund; waive and/or make adjustments to the Charges was memorialized in certain FMC correspondence dated October 30, 2023 (the "FMC Agreement").

ANSWER: Any correspondence referenced in Paragraph 22 speaks for itself. The correspondence Complainant labels the "FMC Agreement" was not attached to, or identified with particularity in, the Verified Complaint, and COSCO denies any characterization inconsistent with that writing. COSCO denies that any such correspondence constitutes an agreement enforceable through this proceeding, and otherwise lacks knowledge or information sufficient to admit or deny the allegations of Paragraph 22, and on that basis denies them.

23. In breach of the FMC Agreement, COSCO has failed and refused to refund to EGI charges in the amount of \$91,545.00 with respect to Container Nos. CSNU8561008, CSNU8547334, CSNU7603449, OOCU7643078, BEAU6204858, TCKU6197562, TRHU4372788, FSCU8586005, FFAU3614392, TGBU4759979, CSNU6365813,, OOCU9073945, CBHU9575630, CSNU7080559, OOCU7565925, SEGU4233144 and CCLU7318741.

ANSWER: COSCO denies the allegations of Paragraph 23.

24. In breach of the FMC Agreement, COSCO, on repeated occasions from October 30, 2023 through no earlier than August 1, 2025, falsely and fraudulently claimed that it was processing the agreed refunds to EGI pursuant to the FMC Agreement. Upon information and belief, these statements by COSCO were knowingly false when made and were expressly intended to impair EGI's rights under the Shipping Act and the FMC Agreement.

ANSWER: COSCO denies the allegations of Paragraph 24.

VI. CAUSES OF ACTION

COUNT I: VIOLATION OF 46 U.S.C. § 41102(c)

25. Complainant repeats and realleges the allegations above as if fully set forth herein.

ANSWER: COSCO repeats and realleges each of its foregoing responses as if fully set forth herein.

26. COSCO's assessment of the Charges, and the alleged acts or omissions of COSCO that led to the assessment of such Charges, constitutes failures by COSCO to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering EGI's property in violation of 46 U.S.C. Section 41102(c), 46 C.F.R. Section 545.5, and the FMC's Interpretive Rule.

ANSWER: COSCO denies the allegations of Paragraph 26.

COUNT II: VIOLATION OF 46 U.S.C. § 41104(a)(10)

27. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

ANSWER: COSCO repeats and realleges each of its foregoing responses as if fully set forth herein.

28. COSCO's assessment of the Charges, and the alleged acts or omissions of COSCO that led to the assessment of such Charges, constitutes unreasonable refusal to deal or negotiate with EGI, in violation of 46 U.S.C. Section 41104(a)(10).

ANSWER: COSCO denies the allegations of Paragraph 28.

VII. CAUSATION

29. The foregoing alleged illegal acts of Respondent have directly and proximately injured EGI by forcing EGI to pay substantially higher market prices or forgo shipping such cargo altogether,³ and forcing EGI to sustain damages resulting from COSCO's breach of the FMC Agreement.

ANSWER: COSCO denies the allegations of Paragraph 29.

VIII. COMPLAINANT'S DAMAGES

30. EGI has been, and continues to be, actually and materially injured by each⁴ Respondent's continuous conduct in violation of the Shipping Act alleged herein.

ANSWER: COSCO denies the allegations of Paragraph 30.

31. Respondent's violations alleged herein are causing direct, proximate, and ongoing financial damages to EGI in an amount no less than \$91,545.00, as will be further demonstrated in this proceeding.

ANSWER: COSCO denies the allegations of Paragraph 31.

IX. PRAYER FOR RELIEF

No response required.

X. REQUEST FOR ORAL HEARING

COSCO does not oppose an oral hearing and agrees that any hearing in this matter, including cross-examination, should be held in Washington, DC.

³ This is another instance where Complainant has directly copied and pasted from another unsuccessful complaint, as the Complaint here is not at all about inability to ship cargo or paying higher rates for the shipment of cargo, but rather about purported overcharges for detention and demurrage.

⁴ Yet another copying error.

AFFIRMATIVE DEFENSES

Without assuming any burden of proof it would not otherwise bear, and reserving the right to amend or supplement, COSCO asserts the following affirmative and other defenses:

1. The Verified Complaint fails to state a claim upon which relief may be granted.
2. To the extent Complainant's claims are premised on the alleged breach of the purported "FMC Agreement" or otherwise sound in contract, the Commission lacks subject matter jurisdiction and authority to adjudicate such claims.
3. The Commission lacks subject matter jurisdiction over any claim relating to charges imposed, invoiced, or collected by third parties, including motor carriers, truckers, chassis providers, marine terminal operators, railroads, and storage facilities.
4. To the extent the amounts Complainant seeks to recover were charged to or paid by Complainant to entities other than COSCO—including motor carriers, truckers, marine terminal operators, and storage facilities—COSCO is not the proper party from which to seek a refund, and any remedy lies against those entities.
5. Complainant lacks standing to seek reparations for the Charges, as Complainant did not pay such Charges directly to COSCO (the "direct purchaser" rule).
6. Complainant's claims are barred, in whole or in part, by the applicable statute of limitations.
7. Complainant has been made whole, in whole or in part, through prior deletions, waivers, refunds, and adjustments, and its claims are barred or reduced by payment, accord and satisfaction, release, set-off, and recoupment.
8. Complainant's claims are barred, in whole or in part, by the doctrines of laches, estoppel, waiver, and unclean hands.

9. Complainant failed to mitigate its alleged damages.
10. Any injury or damage allegedly sustained by Complainant was caused by Complainant's own acts or omissions, or by the acts or omissions of third parties over whom COSCO had no control.
11. Complainant authorized, consented to, acquiesced in, or ratified some or all of the acts or omissions of which it complains, including by voluntarily paying the charges at issue.
12. Count II fails as a matter of law because 46 U.S.C. § 41104(a)(10) addresses unreasonable refusals to deal or negotiate with respect to vessel space accommodations and does not govern the assessment of demurrage, detention, per diem, or storage charges.
13. 46 C.F.R. § 545.5 does not impose an independent substantive requirement and therefore cannot be violated.
14. The Commission lacks subject matter jurisdiction over any claim relating to the carriage of cargo that did not move via ocean carrier through a port of the United States.
15. COSCO reserves the right to assert additional affirmative and other defenses as they become known through investigation and discovery.

DATED: July 6, 2026

Respectfully submitted,

/s/ Nicholas Webb

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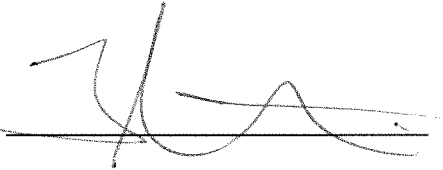
**ATTORNEYS FOR RESPONDENT
COSCO Shipping Lines Co., Ltd.**

VERIFICATION

I, James Houghtalin, declare as follows:

1. I am the Executive Vice President of COSCO Shipping Lines (North America) Inc.
2. I am duly authorized to make this verification on behalf of COSCO Shipping Lines Co., Ltd.
3. I have read the contents of the foregoing Respondent's Verified Answer in FMC Docket No. 26-08, and I verify under penalty of perjury that the statements of fact contained therein are true and correct to the best of my knowledge, information, and belief.

Dated: 7-6-2026

Signed, 

James Houghtalin, Executive Vice President

CERTIFICATE OF SERVICE

I certify that on July 6, 2026, a true and correct copy of the foregoing **RESPONDENT'S VERIFIED ANSWER** was served by email on all counsel of record in accordance with 46 C.F.R. Part 502.

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/s/ Nicholas Webb

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